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HSBC | Europe

4Q25: 10% beat vs. consensus, 3 year RoTE target of 17%, or better

WHAT'S CHANGED

HSBC (HSBA.L)	From	To
Price Target	1,315p	1,409p

Reaction to earnings

Strengthens our thesis Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Underlying Ppop was 10% ahead of consensus, driven by a 6% beat on NII, with capital also better, up 40bp qoq. 2026 NII guidance at \$45bn compares to consensus at \$43.5bn, and ROTE guidance has been increased to 17% or better. Post results, we raise our estimates 9-12%.

Adj. PBT 9/11% ahead of Consensus/MSe. Banking NII beat MSe/Consensus by 6%, with the Other Income line broadly in-line (-1/2% vs. Consensus/MSe), driving a total 3/5% revenue beat. Costs were 1% better than Consensus/in-line with MSe, and PPop was 9/11% ahead. Provisions were 12-14% lower, with no material net provisions from HK CRE. Notable Items were a negative \$1.8bn related to the French home and other loan disposal costs already flagged (Consensus was at -\$2bn). CET1 was 14.9%, up 40bp qoq, and 30bp ahead of consensus. There are no share buybacks, as expected, and the company announced a \$0.45 dividend, vs. MSe/Consensus at \$0.42/0.41. TNAV per share is at \$9.64, +5% qoq.

ROTE 17% "or better" throughout 2026-2028. New medium-term targets point to revenue rising to 5% yoy growth by 2028E, with ROTE 17% or better each year, and dividends at 50% of EPS ex-material notable items. For 2026, Banking NII is expected to be "at least \$45bn" vs. consensus at \$43.5bn, with costs expected to grow 1%, equivalent to \$33.8bn vs. Consensus at \$34.3bn. ECL charge is expected at c. 40bp (in-line), and the CET1 target range remains at 14-14.5%, also in-line.

Hang Seng to deliver \$500mn synergies by 2028E, and management have an additional ambition to unlock a further \$400mn upside over time. Within the \$500mn, the company intends to re-invest \$300mn of cost synergies. The overhead simplification programme for the bank as a whole is ahead of expectations with \$1.2bn cost synergies actioned so far vs. the \$1bn originally expected by 4Q25, and US\$0.6bn recognised in 2025 vs. US\$0.3bn guided.

Deposit growth, with higher HIBOR and lower Deposit beta, drove the NII beat. The NII beat was broad-based, with HK 5% better, up 11.5% qoq, driven by higher

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HSBC (HSBA.L, HSBA LN)

Banks United Kingdom	
Stock Rating	Equal-weight
Industry View	Attractive
Price target	1,409p
Shr price, close (Feb 24, 2026)	1,291p
52-Week Range	1,323-699p
Mkt cap, curr (mn)	£223,328
Up/downside to price target (%)	9
Avg daily trading value (mn)	£230

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.55	1.71	1.84	2.03
Prior EPS (US\$)**	1.53	1.52	1.66	1.87
EPS, basic (US\$)*	1.21	1.64	1.84	2.04
EPS (US\$)§	1.43	1.53	1.67	1.83
P/E	10.2	10.2	9.4	8.6
DPS (US\$)	0.75	0.83	0.91	1.01
Div yld (%)	4.7	4.8	5.2	5.8
Tang BV (US\$ bn)	165	171	176	180
Tang BVPS (£)	7.09	7.54	8.04	8.62
P/tang BV	1.66	1.71	1.61	1.50
Return on avg tang eqty (%)	17.0	17.3	17.6	18.1
Core tier 1 capital ratio, Basel 3 (%)	14.9	14.2	14.3	14.5
RWA, Basel 3 (US\$ bn)	889	901	926	944

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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HIBOR with time deposit mix stable at 36%. UK NII was up 2.8% qoq, 2% better, and CIB was up 2.6% qoq, 5.5% better than MSe. Deposits were up 4% yoy, or +3% qoq, 2% better than expected. Loan growth was largely in-line with our estimates, up 2% yoy. The "at least \$45bn" NII guidance for 2026E points to >\$11.25bn NII run rate vs. a recurrent \$11.6bn in 4Q25, and we believe this is above both buy side and sell side expectations.

Fees and Other Income broadly in-line. Other Income was 1% below consensus, 2% ahead of MSe. Strength in Wholesale Transaction Banking, Equity & Debt Markets drove a beat in CIB, and together with International Wealth, largely offset lower numbers in HK and UK. Net New Invested Assets came in at \$7bn vs. \$29bn in 3Q25, and within that, Asia saw a \$3bn outflow, which we believe is driven by seasonality and HK market performance. Considering the YTD activity in the local market, and the underlying growth, we look through it in our updated numbers.

Continues to expect FY26 ECL charge at c.40bp. 4Q25 provisions were 14% lower than expected. In HK, provisions were at \$308mn, 30% lower than MSe, with stage 3 migration of a single name offset by macro scenario updates. HK CRE negative migration continues but has slowed down in Q4, with credit impaired. HK CRE exposures were down \$0.1bn qoq vs. +1.3bn qoq in Q3.

Post results, we raise our EPS estimates 12-9% 2026E-28E. We believe the stronger guidance reflects management confidence in greater visibility in HIBOR, and the strong performance on the deposit side of the balance sheet. We see \$45.5bn NII in 2026E, and total revenues growing towards the +5% revenue growth guidance in 2028E, also reflecting better Wholesale Transaction Banking numbers than we had previously anticipated. All-in, we raise our earnings by 10%, now 8-9% ahead of consensus. The stock is trading on 1.7x 2026e TBV, for a >17% ROTE 2026-28E. We are Overweight in Asia, Equal-weight in Europe. **We expect a strong positive share price reaction.**

Exhibit 1 : Management is targeting an RoTE of >17%

HSBC targets for 2026, 2027 and 2028	
Revenue	- Rising to 5% YoY growth by 2028, excluding notable items
RoTE	- 17% or better, excluding notable items, each year
Dividends	- 50% of EPS, excluding material notable items and related impacts

Source: Company 4Q25 Results Presentation

Main Highlights and Estimate Changes

HSBC reported adjusted 4Q25 PBT of US\$8.6bn, 9%/11% ahead of consensus/MSe. Key points include:

- Adjusted revenue was 5%/3% above MSe and consensus. Banking NII 6% beat expectations, and QoQ increase helped by HIBOR movement and ~US\$0.1b non-repeatable impact. **FY26 banking NII target of at least US\$45bn.**
- Wealth related fees in IWPB remained strong, while HK and UK wealth fees were slightly weaker on reduced client activities. Seasonality drove a softer net new invested assets (NNIA) of US\$7bn in 4Q. Asia NNIA of -US\$3bn in 4Q was mainly due to a shift into deposits. HSBC has updated its wealth business disclosure, allowing for better comparison with its peers.
- Costs (ex bank levy) largely in-line with expectation, with FY guidance of 3%. **FY26 cost guidance of ~1% growth, on a target basis of US\$33.5bn.**
- Credit charges ~100mn below expectation, immaterial ECL from HK CRE. **FY26 guidance of ~40bps.**
- \$0.45 DPS declared, ahead of expectations of 42c. Capital position strong with CET1 of 14.9%. Hang Seng Bank privatisation had a net 110bps on CET1 in Jan 2026, including a 120bps day one impact and a 10bps offset driven by the release of incremental hedging-related market RWAs. **FY26 guidance of CET1 14-14.5% target range.**
- **2026-2028 target:** revenue (excl. notable items) rising to 5% YoY growth by 2028, RoTE (excl. notable items) of 17% or better each year, and 50% payout ratio (excl. material notable items and related impacts).
- **Hang Seng privatisation:** US\$0.5bn revenue and cost synergies, to be achieved by FY28; US\$0.4bn potential further upside, to be achieved by FY28; and ~US\$0.6bn material notable item by FY28.
- **Post results, we have revised our earnings estimates for 2026/2027e by +12% and 11% respectively.** The main changes include higher revenue, driven by better banking NII outlook and better transaction banking revenues. We have revised up credit charges slightly, mainly on higher loan balances estimates. We have also introduced 2028 estimates.
- Reflecting our earnings estimates upgrade, we have revised up our bull and base case values by 5% and 9% respectively. However, we have revised down our bear case value by 3.5%, factoring in an unfavorable macro environment possibility. As a result, our new price target is now at 1409p, up 7% from our previous PT. Retain Equal-weight on UK ticker and OW rating on HK ticker.

Exhibit 2: HSBC 4Q25 results review

HSBC - US\$ mn	4Q24	1Q25	2Q25	3Q25	4Q25A	YoY	QoQ	4Q25 cons.	Actual vs. cons.	4Q25E	Actual vs. Mse
Banking NII	10,904	10,599	10,714	11,049	11,722	8%	6%	11,057	6%	11,013	6%
Fees and others	5,600	7,141	6,943	6,851	6,001	7%	-12%	6,089	-1%	5,871	2%
Total income	16,504	17,740	17,657	17,900	17,723	7%	-1%	17,146	3%	16,884	5%
Operating expenses (excl. bank levy)	(8,249)	(7,911)	(8,268)	(8,380)	(8,615)	4%	3%	(8,680)	-1%	(8,644)	0%
Bank levy	(249)	0	0	0	(290)	16%	n/m	(240)	21%	(249)	16%
Pre-provision profit	8,006	9,829	9,389	9,520	8,818	10%	-7%	8,226	7%	7,991	10%
Impairments	(1,362)	(876)	(1,065)	(1,008)	(901)	-34%	-11%	(1,020)	-12%	(1,047)	-14%
Associates & JVs	679	813	838	591	669	-1%	13%	648	3%	760	-12%
Adjusted profit before tax	7,323	9,766	9,162	9,103	8,586	17%	-6%	7,854	9%	7,704	11%
Total significant items	(5,046)	(282)	(2,836)	(1,808)	(1,784)	-65%	-1%	(2,098)	-15%	(2,227)	-20%
Profit before tax	2,277	9,484	6,326	7,295	6,802	199%	-7%	5,756	18%	5,477	24%
Tax	(1,692)	(1,914)	(1,455)	(1,792)	(1,615)	-5%	-10%	(1,402)	15%	(1,179)	37%
Minorities	(234)	(246)	(138)	(219)	(243)	4%	11%	(263)	-8%	(167)	46%
Reported net income	351	7,324	4,733	5,284	4,944	1309%	-6%	4,091	21%	4,131	20%
EPS	0.01	0.39	0.26	0.28	0.28	2700%	0%	0.23	22%	0.23	19%
TBVPS	8.61	9.08	9.17	9.22	9.64	12%	5%	9.38	3%	9.38	3%
DPS	0.36	0.10	0.10	0.10	0.45	25%	350%	0.42	7%	0.42	7%
Other Key Information											
Loans and advances to customers	930,658	944,708	981,722	982,886	988,399	6%	1%	979,400	0.9%	989,241	-0.1%
Customer accounts	1,654,955	1,666,485	1,718,604	1,737,247	1,786,828	8%	3%	1,745,100	2.4%	1,748,322	2.2%
Risk-weighted assets	838,254	853,257	886,860	878,793	888,647	6%	1%	878,400	1.2%	883,514	0.6%
Common equity tier 1 ratio	14.9%	14.7%	14.6%	14.5%	14.9%	0bps	40bps	14.6%	30bps	14.7%	20bps

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 3: HSBC estimate revisions

HSBC \$bn	2026e			2027e			2028e		
\$ bn	Old	New	% Diff	Old	New	% Diff	Old	New	% Diff
Banking NII	43.9	45.5	3.8%	44.1	46.5	5.7%	45.4	48.1	6.0%
Fee and others	26.3	27.9	6.2%	27.9	29.6	6.1%	29.7	31.5	6.3%
Revenue	70.2	73.5	4.7%	71.9	76.1	5.8%	75.1	79.7	6.1%
Operating expenses	-34.2	-33.8	-1.0%	-35.0	-34.9	-0.3%	-36.1	-36.2	0.3%
Pre-provision profit	36.0	39.6	10.1%	36.9	41.2	11.6%	39.0	43.5	11.5%
Loan loss provisions	-3.9	-3.9	1.6%	-3.5	-3.8	8.2%	-3.5	-3.9	9.8%
Adjusted PBT	34.8	38.3	10.2%	36.1	40.1	11.0%	38.3	42.4	10.8%
EPS (for consensus)	1.52	1.71	12.4%	1.66	1.84	10.8%	1.87	2.03	8.9%
TBVPS	9.97	10.23	2.6%	10.67	10.91	2.2%	11.52	11.69	1.6%
CET1 ratio %	14.3%	14.2%	-1bps	14.3%	14.3%	-1bps	14.5%	14.5%	0bps

Source: Morgan Stanley Research estimates (E)

4Q Numbers in Detail

Banking NII came in 6/7% higher than MSe/consensus. HK NII was up 12% qoq, a 5% beat vs. our estimate, and was supported by stronger-than-expected NII in CIB (6% beat) and UK (2% beat). The stronger NII was driven by higher HIBOR in the quarter, with a lower deposit beta than expected. Time deposits in HK are at 36%, flat qoq, and the company also lowered the rates in savings accounts in Hong Kong. The notional of the hedge in 4-Q25 has increased to \$593bn (+\$8bn QoQ), with c.\$110bn maturing in 2026E still providing a tailwind (2.7% yield). **Management are now guiding to Banking NII of at least \$45bn for 2026e**, which we believe reflects confidence in a more stable/predictable HIBOR going forward, growth in deposits and a more stable mix.

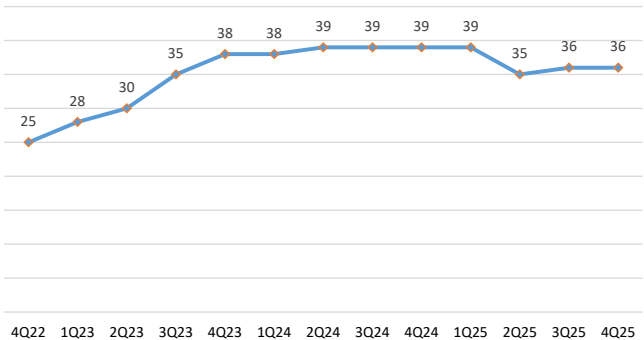
Deposits were up 2.9% qoq, with loans up 0.6%. Loans in HK were broadly stable qoq, while UK and CIB were both up \$5bn and \$1bn, respectively. The UK growth was driven by mortgages and targeted sectors in commercial banking, while CIB growth was mainly driven from Asia. Management is no longer providing guidance on medium- to long-term lending growth. Deposits increased by \$24bn qoq in Hong Kong on the back of higher wealth inflows, and by \$11bn in CIB due to strong client demand and new mandate wins. UK also saw an increase of \$8bn in deposits, with Innovation Banking helping franchise growth in the country, and IPWB registered \$7bn of new deposits.

Exhibit 4: The structural hedge notional increased 1.4% qoq to \$593bn

\$bn	Balance	Average yield
Notional balance	593	
- 2026	~110	~2.7%
- 2027	~110	~3.4%
- 2028	~100	~3.7%

Source: Company data

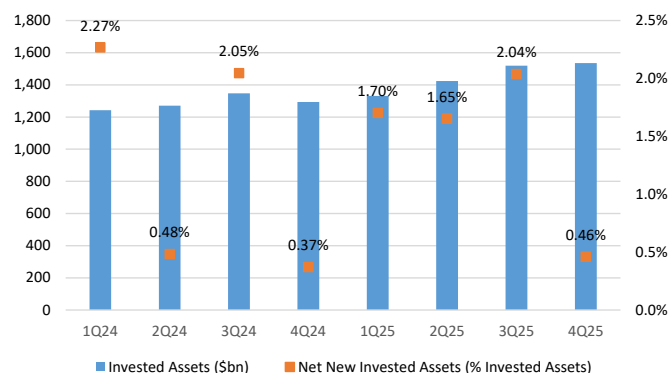
Exhibit 5: Time deposits as % of HK customer accounts



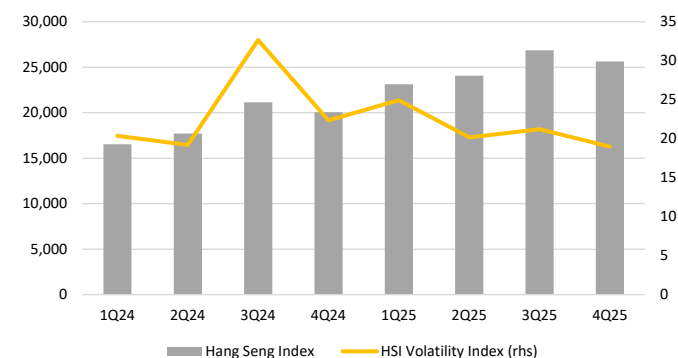
Source: Company data

Other Income ex-Notable Items was \$6bn, up 7% YoY, and +2%/-1% vs. MSe/consensus. Debt and Equity markets were up 5% qoq, and Wholesale Transaction Banking was up 1% yoy – combined, \$300mn better than we expected. Wealth fees were up 20% yoy to \$2.1bn, with Insurance continuing to drive growth, +49% yoy. For Q4, there were \$7bn of Net New Invested Assets and \$80bn overall in FY25, or 6.2%, with mainland China, India, Singapore and the UAE growing at double digits yoy. HSBC will start to report Total Wealth balances, including deposits (ex-Third party AM products), which were up 1.7% qoq, or +15% yoy, including 6.3% of Net New Money in 2025.

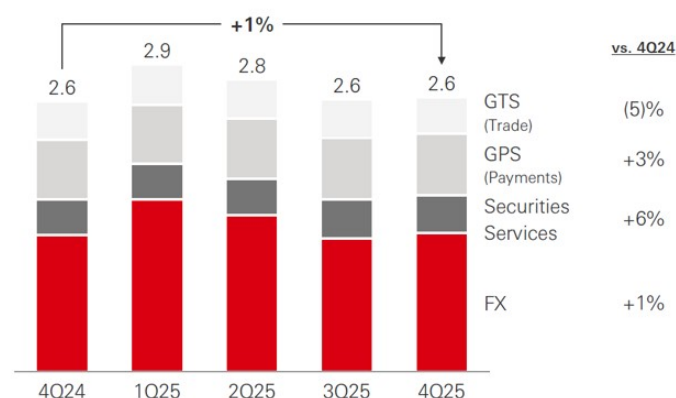
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Exhibit 6: Invested assets rising steadily ...

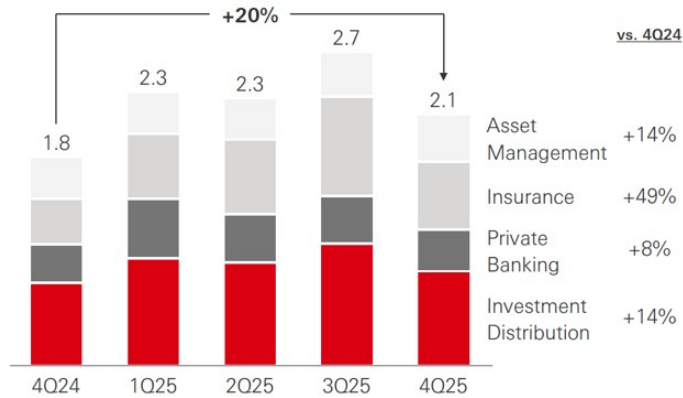
Source: Company data

Exhibit 7: ... supported by an upward trend in the Hang Seng index

Source: Bloomberg

Exhibit 8: Wholesale Transaction Banking non-NII, US\$bn

Source: Company 4Q25 Results Presentation

Exhibit 9: Wealth non-NII, US\$bn

Source: Company 4Q25 Results Presentation

Delivered on 3% cost growth target in 2025. The company has actioned \$1.2bn annualized cost savings compared to the \$1bn previously committed to, of which \$0.6 have been realized in the P&L in 2025. Management is guiding to 1% growth in costs in FY26, which captures the faster calendar and suggests more to come, in our view.

Exhibit 10: Cost target basis reconciliation

\$m	FY24	FY25	4Q24	4Q25
Costs	(33,146)	(36,428)	(8,742)	(9,330)
Less: Notable items	215	2,964	98	425
Less: Impact of retranslating prior period results in hyperinflationary economies at constant currency	(56)	—	(17)	—
Less: Canada direct costs	152	—	(0)	—
Less: Argentina direct costs	357	—	47	—
Target basis	(32,478)	(33,464)	(8,615)	(8,905)

Source: Company 4Q25 Results Presentation

Exhibit 11: c\$1.5bn simplification savings from reorganisation

\$bn	4Q25	FY25
Restructuring and other related costs	(0.3)	(1.0)
Annualised cost savings actioned	0.2	1.2
Cost savings realised in P&L	0.3	0.6

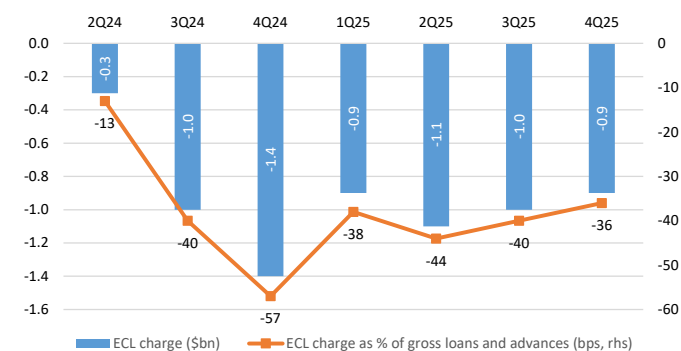
Source: Company 4Q25 Results Presentation

ECL charge of 36bps, FY26 guidance at 40bps. Provisions were \$901mn in the quarter, 14% below MSe/consensus. The \$700m FY25 ECL charge in HK CRE is linked to ongoing market challenges, but there was no further charge in Q4. Additional disclosure shows \$8.7bn (28% of the book) is rated sub-standard or credit impaired, including \$1.9bn >70% LTV. We forecast 31-36bps for 2026-28e, and we believe any deterioration in HK CRE is likely to be captured within that number.

Exhibit 12: Hong Kong commercial real estate (excl. exposure to mainland China borrowers)

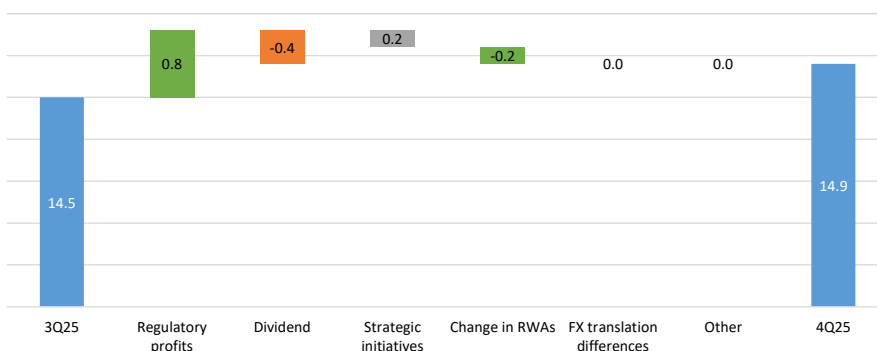
	FY24	3Q25	FY25	YoY%	QoQ%
Strong	4.5	3.2	3.3	-27%	3%
Good	9.8	8.4	8.2	-16%	-2%
Satisfactory	10.7	10.5	10.4	-3%	-1%
Sub-standard	3.7	2.5	2.4	-35%	-4%
- Of which: >70% LTV	0.1	0.0	0.0		
Credit impaired	4.6	6.4	6.3	37%	-2%
- Of which: >70% LTV	1.2	1.7	1.9	58%	12%
Total	33.2	31.0	30.6	-8%	-1%
Memo items:					
ECL charge	-0.1	-0.7	-0.7		
ECL allowance	-0.4	-1.1	-1.1		
- Of which: credit impaired	-0.3	-0.8	-0.9		
Average LTV sub-standard	46%	43%	42%		
Average LTV credit impaired	58%	65%	71%		
% portfolio secured*	54%	59%	57%		

Source: Company data. *Based on total limits, including off balance sheet commitments, of \$42.8bn (FY24: \$49.2bn)

Exhibit 13: ECL charge trend

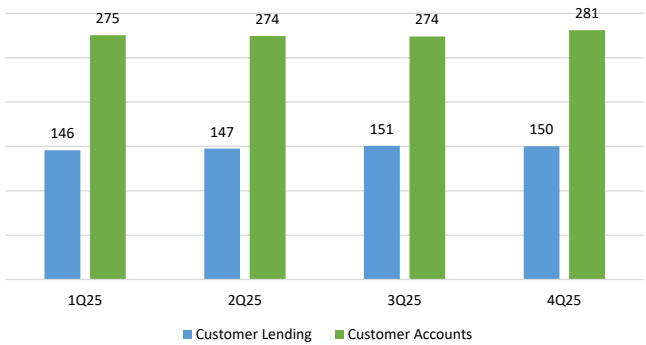
Source: Company data

CET1 was 14.9%, up 40bps QoQ, including a 20bps benefit from strategic initiatives (French life insurance disposal), -20bps RWA impact, and -40bps dividend accrual. This compares to management's 14-14.5% go-to level. The company announced a dividend at \$0.45, higher than our estimate at \$0.42. We continue to expect buybacks to start with Q2 results; however, post the strong capital print, we are now more confident, and we believe some investors will ask if it can even be brought forward to Q1.

Exhibit 14: CET1: 80bps profit generation and 20bps benefit from strategic initiatives, offset by 40bps dividend and 20bps RWA impact

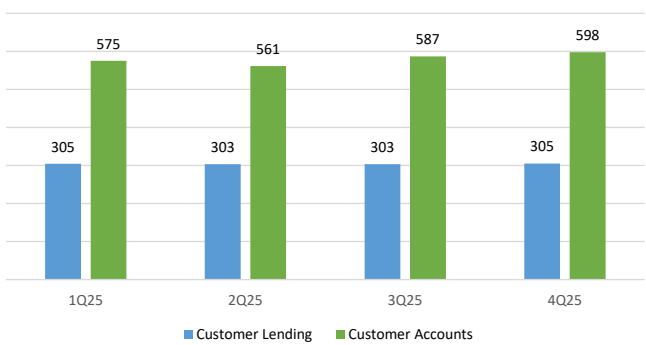
Source: Company data

Exhibit 15: IWPB - customer lending and account balances, US \$bn



Source: Company Data

Exhibit 16: CIB - customer lending and account balances, US \$bn



Source: Company Data

Financials

Exhibit 17: Financial Summary

HSBC							
US\$ bn	2022	2023	2024	2025	2026e	2027e	2028e
Profit & Loss account							
Net interest income	32.6	35.8	32.7	34.8	33.8	34.5	35.9
Net fees and commissions	11.5	11.8	12.3	13.3	12.9	13.9	14.9
Trading income	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Other income (net claims)	4.0	-6.5	-4.6	-8.0	26.8	27.8	28.9
Non interest income	15.5	5.4	7.7	5.4	39.7	41.7	43.8
Total income	48.1	41.2	40.4	40.2	73.5	76.1	79.7
Operating expenses	-30.4	-31.9	-32.8	-33.5	-33.8	-34.9	-36.2
Pre-provision operating profit	17.7	9.3	7.6	6.7	39.6	41.2	43.5
Impairments	-3.6	-3.4	-3.4	-3.9	-3.9	-3.8	-3.9
Associates & JVs	2.7	2.8	2.9	2.9	2.6	2.7	2.8
Operating profit	16.8	8.7	7.1	5.8	38.3	40.1	42.4
Own debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-qualifying hedges	0.0	-1.0	0.0	0.0	0.0	0.0	0.0
Disposal gains/one-off income	-0.6	1.0	-1.5	-2.1	-0.6	0.0	0.0
Conduct/litigation costs	0.0	0.0	0.0	-1.4	0.0	0.0	0.0
Ring fence/ Brexit costs	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring costs	-3.1	0.1	0.0	-1.0	-0.9	-0.3	-0.1
Other significant items	4.4	21.5	26.8	28.8	0.0	0.0	0.0
Profit before tax	17.5	30.3	32.3	29.9	36.8	39.8	42.3
Tax	-0.9	-5.8	-7.3	-6.8	-7.9	-8.5	-9.1
Minorities, AT1, prefs. & other	-1.8	-2.1	-2.1	-2.0	-1.2	-1.1	-1.1
Net attributable profit	14.8	22.4	22.9	21.1	27.8	30.2	32.1
Adjusted net profit	19.7	23.7	24.5	27.2	29.2	30.5	32.2
Key items							
Number of Shares (avg, fd)	19,986	19,600	18,485	17,547	17,069	16,540	15,868
EPS (for cons. US\$)	0.99	1.21	1.33	1.55	1.71	1.84	2.03
EPS (\$) - reported	0.75	1.15	1.25	1.21	1.64	1.84	2.04
DPS (\$) - total declared	0.32	0.61	0.87	0.75	0.83	0.91	1.01
Cash DPS (\$) - declared	0.32	0.61	0.87	0.75	0.83	0.91	0.00
Buyback (US\$ mn)	1,000	9,000	11,000	6,000	7,000	11,000	12,000
BVPS (US\$)	8.23	8.70	9.24	10.34	10.96	11.67	12.50
TBVPS (US\$)	7.36	8.08	8.60	9.62	10.23	10.91	11.69
Net customer loans (US\$ bn)	924,854	938,535	930,658	988,399	1,007,662	1,034,954	1,064,719
Customer accounts (US\$ bn)	1,570,303	1,611,647	1,654,955	1,786,828	1,841,473	1,898,267	1,951,260
CRD IV CET1 (US\$ bn)	119,291	126,501	124,911	132,593	127,542	132,226	136,634
CRD IV RWAs (US\$ bn)	839,720	854,114	838,254	888,647	900,501	925,827	943,708
CRD IV Leverage exposure (US\$ bn)	2,417,201	2,574,755	2,571,071	2,571,071	3,216,941	3,296,747	3,380,819

Source: Company data, Morgan Stanley Research estimates (E)

Risk Reward – HSBC (HSBA.L)

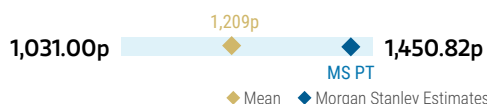
High-teens RoE and capital returns make it defensive. Equal-weight

PRICE TARGET 1,409p

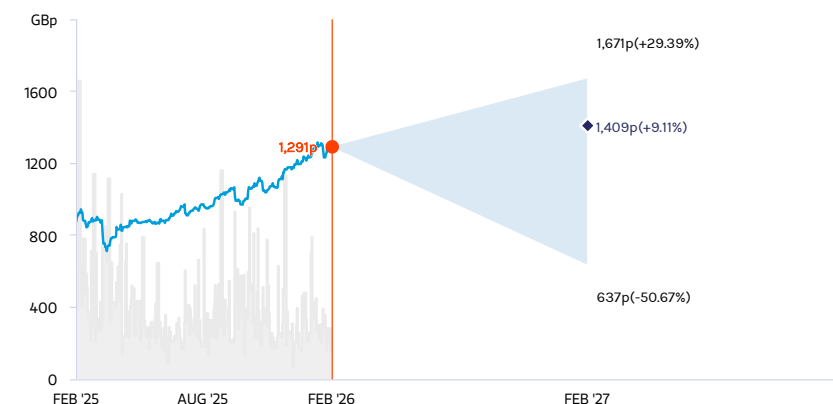
Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based on the likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividend, to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

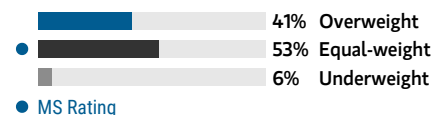


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Rising rates have driven NIM higher. The rate cycle has now peaked, leading to NIM headwinds, but non-interest income growth and capital returns mean RoTE can stay above 17%.
- We have increased confidence in non-interest income growth (especially in wealth, but also in corporate banking). We also see continued cost control, with medium-term cost growth of c.3%.
- We see HSBC maintaining a 50% payout ratio, and share buybacks of c.US\$7-12bn from 2027 onwards. Capital returns will likely support the share price.
- Macro and geopolitical risks remain, but we expect capital returns and fee growth to provide support for the share price.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

1,671p

Costs well controlled

Global macro sentiment improves as Asia adjusts to US tariffs. Rates and NIMs remain high. Revenues accelerate faster than in base case, yet HSBC still delivers 3% cost growth post 2026e. Macro risks abate, CoE 9.3%.

BASE CASE

1,344p

Rate rises follow Fed curve; risks abate

US tariffs slow global growth and we see US rates decline to 2.5-3%. Loan and fee growth subdued for the remainder of 2025e and into 1H26e. HSBC delivers underlying cost growth of 3% post 2024. CoE 10%.

BEAR CASE

637p

Rising macro risks

Hard landing leads to fall in US rates to 2.5% and HSBC's NIM comes under more severe pressure. HSBC struggles to control costs post 2024 and cost:income remains elevated. Macro and geopolitical risks increase. CoE 13.5%

Risk Reward – HSBC (HSBA.L)

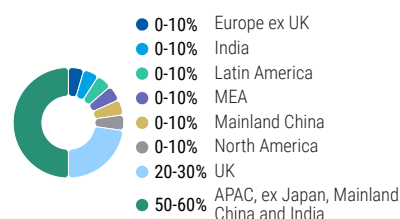
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Loan growth (%)	6.2	1.9	2.7	2.9
NIM (%)	1.59	1.46	1.46	1.47
Core PPOP growth (%)	20.0	(12.5)	4.4	8.7
Credit Costs (%)	0.39	0.39	0.36	0.36

INVESTMENT DRIVERS

- Revenue progression
- Cost management
- Asset quality outlook

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

RISKS TO DOWNSIDE

- Slower than expected developed market growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

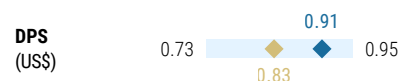
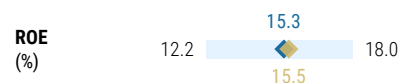
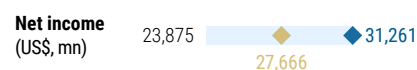
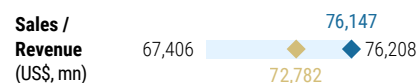
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.4%				
HF Sector Long/Short Ratio	2.5x				
HF Sector Net Exposure	19.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

HSBC Holdings (0005.HK)

Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based upon likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividends to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Risks to Upside

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

Risks to Downside

- Slower than expected developed market growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of January 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

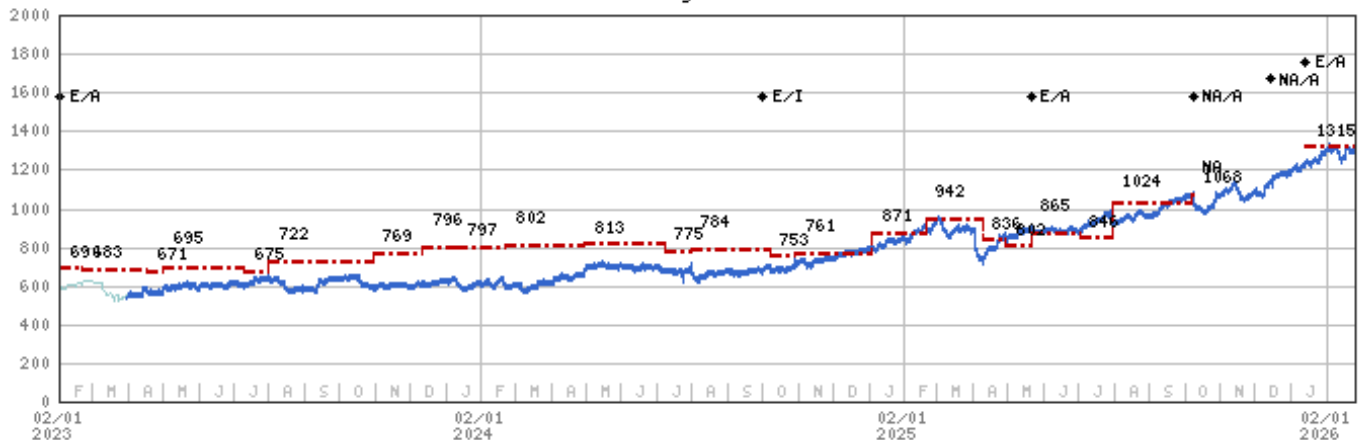
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

HSBC (HSBA.L) - As of 02/25/26 GMT in GBp
Industry : Banks



Stock Rating History: 2/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 10/8/25 : NA/A; 12/14/25 : NA/A; 1/13/26 : E/A

Price Target History: 1/12/21 : 410; 2/24/21 : 430; 8/4/21 : 450; 10/25/21 : 460; 12/2/21 : 484; 1/16/22 : 518; 2/16/22 : 543; 2/22/22 : 551; 4/26/22 : 590; 7/5/22 : 624; 8/1/22 : 641; 10/17/22 : 690; 2/21/23 : 683; 4/18/23 : 671; 5/2/23 : 695; 7/11/23 : 675; 8/1/23 : 722; 10/30/23 : 769; 12/12/23 : 796; 1/11/24 : 797; 2/21/24 : 802; 4/30/24 : 813; 7/8/24 : 775; 7/31/24 : 784; 10/7/24 : 753; 10/29/24 : 761; 1/4/25 : 871; 2/19/25 : 942; 4/9/25 : 836; 4/29/25 : 802; 5/21/25 : 865; 7/2/25 : 846; 7/30/25 : 1024; 10/7/25 : 1068; 10/8/25 : NA; 1/13/26 : 1315

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

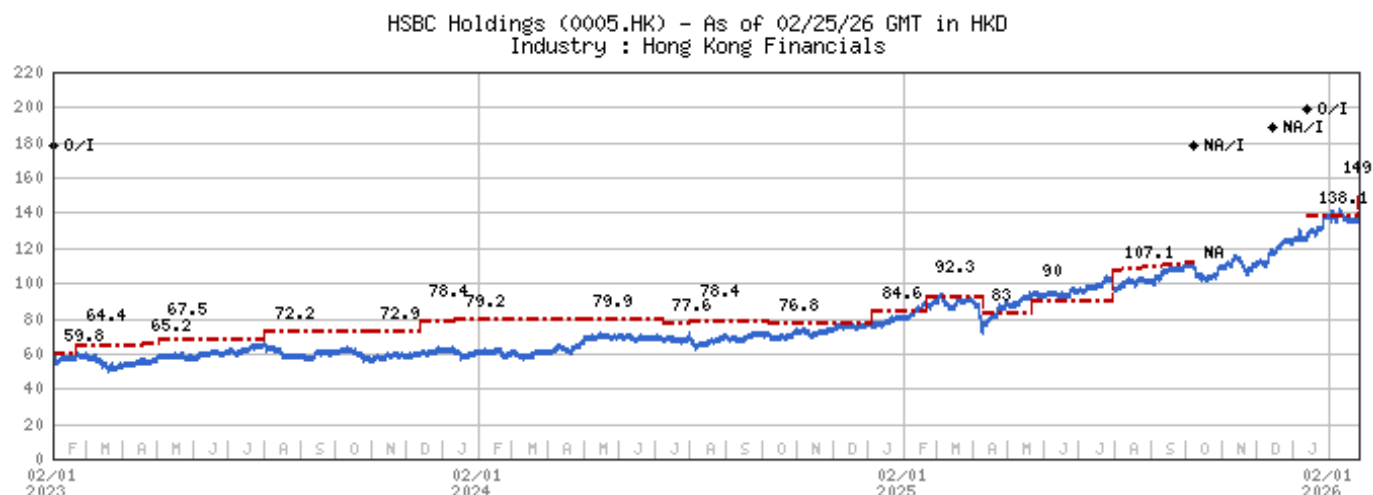
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/24/2026)
Alvaro Serrano		
AIB Group plc (AIBG.I)	E (05/21/2025)	€8.78
Banco Comercial Portugues SA (BCPLS)	E (03/03/2025)	€0.91
Banco Sabadell (SABE.MC)	E (10/21/2025)	€3.24
Bankinter (BKT.MC)	E (09/15/2022)	€14.42
Bank of Ireland (BIRG.I)	O (11/24/2025)	€16.64
Barclays Bank (BARC.L)	O (09/26/2023)	460p
BBVA (BBVA.MC)	E (10/21/2025)	€19.78
CaixaBank SA (CABK.MC)	E (11/25/2024)	€10.66
Commerzbank (CBKG.DE)	E (09/02/2025)	€34.25
HSBC (HSBA.L)	E (01/13/2026)	1,291p
Lloyds Banking Group (LLOY.L)	O (03/04/2025)	103p
NatWest Group (NWG.L)	E (10/02/2023)	604p
Santander (SAN.MC)	E (02/04/2026)	€10.65
UNICAJA BANCO SA (UNI.MC)	U (01/15/2021)	€2.70
Giulia Aurora Miotto, CFA		
ABN AMRO Bank NV (ABNd.AS)	O (09/22/2025)	€28.21
BNP Paribas (BNPP.PA)	E (09/15/2022)	€94.48
Credit Agricole S.A. (CAGR.PA)	E (07/08/2024)	€18.51
Deutsche Bank (DBKGn.DE)	O (03/27/2024)	€30.14
ING Groep (INGA.AS)	O (09/02/2025)	€24.67
KBC Group NV (KBC.BR)	E (11/24/2025)	€113.65
Societe Generale (SOGN.PA)	O (11/01/2024)	€73.90
UBS Group AG (UBSG.S)	U (06/18/2025)	SFr 31.76
Gulnara Saitkulova		
BAWAG Group AG (BAWG.VI)	O (05/20/2025)	€130.90

Danske Bank (DANSKE.CO)	O (08/13/2024)	DKr 333.10
DNB (DNB.OL)	U (09/23/2024)	NKr 299.00
Erste Group Bank AG (ERST.VI)	O (01/13/2025)	€103.00
Nordea Bank Abp (NDAFI.HE)	O (11/25/2024)	€16.65
Skandinaviska Enskilda Banken AB (SEBa.ST)	E (05/21/2024)	SKr 193.30
Svenska Handelsbanken AB (SHBa.ST)	U (07/08/2025)	SKr 143.55
Swedbank (SWEDa.ST)	U (02/15/2024)	SKr 346.00
Nick Lord		
Standard Chartered Bank (STAN.L)	O (11/24/2025)	1,789p
Noemi Peruch		
Banca Monte Paschi Siena (BMPS.MI)	E (01/05/2026)	€8.47
Banco BPM (BAMI.MI)	U (01/05/2026)	€12.66
BPER Banca (EMII.MI)	O (01/05/2026)	€12.09
Intesa SanPaolo S.p.A. (ISP.MI)	O (03/05/2024)	€5.76
UniCredit S.p.A. (CRDI.MI)	O (02/10/2026)	€72.72

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